

Alpha (at least recently) comes mainly from two very different kinds of funds: Quants, who have developed a replicable, mathematical process for identifying winning strategies; and emerging managers, who identify small market inefficiencies that can be captured. No one seems to have cracked the code yet for selecting which emerging managers to give your capital to in advance.

The top decile (or two) of funds is worth the costs. The rest, not so much.<sup>[429](#)</sup> Only a small subset of managers outperforms their benchmarks consistently enough to justify the lofty fees they charge—famously 2% of assets under management and 20% of any investment gains (2 & 20).

Jim Chanos of Kynikos Associates, a successful short seller, pointed out that back in the 80s and 90s, there were only about 100 hedge funds, almost all of which created alpha.<sup>[430](#)</sup> Today, there are more than 11,000 hedge funds, but as Chanos observes, those 100 hedge funds still capture nearly all of the alpha, generating outperformance net of fees for their investors.

And yet, the lure remains. For too many investors, it's "Come for the high fees, stay for the underperformance."

## Venture capital

Wouldn't it be great to invest in the next Nvidia, Google, or Bitcoin *before* it rises 10,000%? VCs offer exposure to early-stage companies and their founders. Most of the start-ups they fund do not amount to very much, but the occasional giant winner more than makes up for it.

Benchmark Capital was an early investor in Uber (2011); their \$12 million investment for 11% was worth almost \$9.4 billion in 2023. Andreessen Horowitz (2009) was an early investor in Facebook, Instagram, and Airbnb. More recent investments include Slack, Lyft, and Anthropic AI.

Who *doesn't* want some of that?

The appeal of venture investing is a low correlation to public markets and (on occasion) massive winners. If you have access to the best firms (and